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Diversity and Inclusion

An update on our gender pay gap, April 2022

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Between 5th April 2021 and 5th April 2022, our median gender pay gap increased from 4% to 9%.

Since our last report, our median gender pay gap has widened from 4.3% to 9.3%. This isn't where we want to be, and we've laid out clear steps in this report for how we're going to address it and close the gap.

Whilst we've increased representation of women in leadership roles at Monzo, at the same time we've grown our tech team by 50%, hiring a higher number of men than women which reflects the current available candidate gender mix in the industry. Salaries for tech roles are comparably higher (across the industry), so hiring more men than women into tech roles has widened our pay gap at the company level.

In terms of bonuses, we don't pay performance bonuses at Monzo, but for gender pay gap reporting we include payments related to recruitment activity like referral and relocation bonuses, as well when Monzonauts exercise their options. Because we have very few of these types of awards, our bonus gap will likely continue to fluctuate from year to year because of changes in recruitment activity levels and how many options Monzonauts exercise. For the most recent reporting period, our median bonus gap has reduced from 40% to 0%, and our mean bonus gap has increased from 33% to 56%.

An overview of our gender pay gap for 2020-2022

Over the last year we've invested time and energy to make our roles attractive to senior women. We've hired 46 senior women (37% of hires) meaning our overall senior women representation has increased from 32% to 35%. We've also increased the proportion of women in our highest paid roles from 35% to 39%. But given 37% of our leaders are part of our tech organisation, and these roles command a higher salary in the current market, the overall gap has widened.

According to government-funded growth network Tech Nation, [26%](#) of people in the tech workforce are women. Whilst we're pleased we're in line with the industry we know we have more work to do.

We've chosen to focus on the median (the mid-point of pay distributed across our workforce) gender pay gap in our commentary as we think it gives the more representative view of any pay gap.

	Gap (relative to men)	Gap (relative to men)	Gap (relative to men)
	2020	2021	2022

	Gap (relative to men)	Gap (relative to men)	Gap (relative to men)
Mean	15.7%	15.6%	18.0%
Median	14.3%	4.3%	9.3%
Mean bonus	6.2%	33.4%*	56.0%*
Median bonus	0.0%	40.0%*	0.0%
Proportion receiving a bonus payment	-4.6%	13.2%	44.9%

	Women/Men	Women/Men	Women/Men
	2020	2021	2022
Lower quartile	51.8% / 48.2%	47.5% / 52.5%	52.1% / 47.9%
Lower middle quartile	43.2% / 56.8%	47.9% / 52.1%	51.4% / 48.6%
Upper middle quartile	45.6% / 54.4%	50.1% / 49.9%	48.6% / 51.4%
Upper quartile	32.8% / 67.2%	34.9% / 65.1%	38.2% / 61.8%

What we'll keep doing to address our gender pay gap

We hold our people processes to a high standard and inclusion is a key design component. These are the things we'll keep doing and improving as we scale.

Making sure our hiring processes are inclusive

We review our job ads to make sure they use gender neutral language, and prioritise sharing stories of Monzo women and their careers in fintech and Monzo. When we start hiring for a new role, our hiring team and hiring managers make sure we have a diverse interview panel and the interviewers have taken part in our inclusive interview training.

Checking our performance management process

We want the proportion of women receiving promotions in any area of the business to match the proportion of women in that area. We hold calibration sessions to make sure we get diverse opinions and highlight different kinds of contributions. We educate managers to help reduce bias when evaluating performance by understanding the various types of impact someone can make, such as improving a process or creating an inclusive environment.

After our performance calibration sessions, we then go one step further and analyse the outcomes against our diversity data. We do this to highlight any areas where bias could have crept into our process. In our last performance review cycle we found that our final outcomes were balanced from a diversity perspective throughout Monzo.

Maintaining diversity at the very top We have a Board Diversity Policy which outlines expectations, targets and actions to promote diversity when we source new candidates for our Board, as well as identify and develop potential future Board members. We believe this will benefit decision making at Board level and provide a sustainable pipeline for the future. We're signatories of the [Women in Finance Charter](#) and our Chief Operating Officer is part of the Women in Finance Accountable Executive Taskforce. As of 30th September 2022, we have a representation of 41%

women across our executive committee and board. Our board is made up of 56% women and our executive committee is 25% women.

New approaches to address our gender pay gap

To address the gender pay gap, we must use a variety of strategies. These are the new measures we have in place to aid our progress. **New and enhanced people policies**

All Monzo employees benefit from inclusive policies. But we know they're important in attracting senior, skilled women to work at Monzo – regardless of whether they plan to or already have children. After listening to feedback from employees and benchmarking our caregiver leave against the industry, we've:

- increased primary caregiver leave from 3 to 6 months full pay
- increased secondary caregiver leave from 6 weeks to 3 months full pay.

Our caregiver leave is available to anyone who's been working at Monzo for 13 weeks or more. We've made it available as early as possible so we don't restrict when people can afford to plan a family or move jobs.

We want to offer support through life milestones and have also reviewed our benefits with that mindset. Monzonauts now have access to fertility and family-forming support along with overall reproductive health benefits via Fertifa. This includes access to unlimited 1-2-1 clinical advice, treatment and wellbeing support for all fertility, family-forming and reproductive healthcare journeys. Monzonauts also have access to support for menopause and perimenopause. These changes are part of our ambition to help Monzonauts have time & space for important life events and builds

on our current policies. Last year we introduced 8 days of leave a year for fertility treatments to support Monzonauts in their family planning, and 10 days of paid leave following any form of [pregnancy loss](#) for either partner.

More accountability for leaders

We've set an ambitious company-wide goal to increase the representation of women in leadership roles to 40%. As of September 2022, women represent 36% of our leadership roles. Our leaders are accountable for the diversity of their areas which we report to our Executive Committee every month. Leaders work with their People Partners, Hiring Leads, Manager and Leads to challenge the diversity of candidates for interview or promotion. Together, they also work through responses from our quarterly engagement survey to understand the changes they can make to promote inclusion in their areas, like making team rituals and social events more accessible for working parents. To support our leaders, we're hiring a dedicated executive recruiter who will support us in increasing representation in leadership hires.

Paying special attention to our tech organisation

Our tech organisation is the business area that needs most attention to meet our company wide target and improve our gender pay gap. We've held listening sessions with women engineers to understand what changes we can make to improve inclusion and career progression. Our engineering leadership team, women engineers and people leadership team are working together on an action plan to impact the gender balance of our leadership teams.

The plan includes interventions like one-to-one growth conversations with the most senior tech leadership so they have joint, clear plans on how to progress and develop their careers. This 'listen' and 'act' approach is being

rolled out to more of our tech teams to make sure improvements respond to the particular needs of each group.

To attract more women into our tech org we've partnered with the [Women in Tech Forum](#) and [Women in Data Science](#) and have launched a 12-week Engineering Mentoring programme where Monzo engineers mentor senior engineers from the [Coding Black Females](#) network. Whilst all of our recruiters have goals to improve gender representation, as of October 2022 we have a D&I Recruitment Lead who will work closely with the Director of D&I to spot more ways we can increase representation of women in our tech organisation.

Supporting career progression and development

We know that the most effective performance management processes rely on the people skills of our managers and understanding how we can help our people thrive. So we're building out our manager training content and talent review process. We want managers to be confident people managers, clear on the specific actions needed to be even more inclusive and make sure their people have the right opportunities to progress and develop.

As the gender pay gap we report each year is a snapshot from the previous April, we won't necessarily see a fast turn around in the investments we make today. We'll keep holding ourselves accountable and report on our gender pay gap year on year, but will also look at how we can make sustainable longer term change. You can find out more about how we are improving gender representation in our latest [Diversity and Inclusion report](#). If you have any feedback, we'd love to hear it.

The gender pay gap explained

The gender pay gap is the difference in earnings between people who identify as men and women, throughout a company and across all roles and career levels. Although it can still happen, **the Equality Act** makes it illegal to pay people doing the same job different amounts. The gender pay gap, on the other hand, highlights the kinds of roles men and women hold within an organisation, and the different salaries associated with those roles. It exposes when women across a company are being paid less than men on average, and forces companies to confront why that's still the case. Often, that's because women are underrepresented at senior levels and in higher-paid parts of the company.

The numbers in the table above show a snapshot of our employees' pay on 5th April 2020, 2021 and 2022. You can see the average hourly rates we paid people who identify as men and women on that date, and the percentage difference between them.

We've also put everyone in the company into four groups (or quartiles) according to how much we pay them, and you can see the percentage of men and women in each pay quartile.

Companies that employ more than 250 people are legally required to publish a snapshot of their gender pay gap on the 5th of April each year.



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[Read more from Kirsten](#)

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